

CARLSTAR GROUP LLC f/k/a CARLISLE TRANSPORTATION PRODUCTS, INC., and CTP TRANSPORTATION PRODUCTS, LLC,	:	
	:	
Complainants,	:	
	:	
v.	:	Docket No. 17-08
	:	
	:	
UTi, UNITED STATES, INC.,	:	
UTi, UNITED STATES, LLC, and	:	
DSV AIR & SEA, INC.	:	
	:	
Respondents.	:	
	:	

I. Introduction

1

II. Procedural History

On August 31, 2017, Complainants filed a Complaint with the Commission alleging that Respondents, violated sections 41102(c), 41104(2), and 41104(4) of the Shipping Act of 1984. 46 U.S.C. On joint motion of the Parties, the time for Respondents to answer or otherwise respond to the Complaint was extended twice to give the Parties an opportunity to engage in settlement discussions and mediation with the Commission's Office of Consumer Affairs and Dispute Resolution Services ("CADRS"). Settlement discussions did not result in resolution of the Parties' dispute at that time. On December 8, 2017, Respondents filed a Motion to Dismiss the Complaint for lack of subject matter jurisdiction and for failure to state a claim, further contending that the dispute should be resolved by arbitration. On December 26, 2017, Complainants filed a response to the motion. On January 2, 2018, an order was entered by the ALJ directing Complainants to file a Supplemental Memorandum setting forth its contentions regarding the operational status of Respondents with regard to the shipments that were subject to the Parties' transportation agreement. On January 17, 2018, Complainants filed a Supplemental Memorandum as requested and, on January 24, 2018, Respondents filed a Reply to the Supplemental Memorandum.

On February 23, 2018, the ALJ issued a Preliminary Ruling stated that it appeared the FMC has subject matter jurisdiction over Complainants' claims that Respondents violated sections 41104(2) and 41104(4), but that additional submissions would be required before ruling on the motion to dismiss the Complaint for failure to state a claim of violation of these sections. After additional submissions by both Parties, on April 20, 2018, the Parties appeared by telephone for oral argument on the motion.

On May 18, 2018, the ALJ issued an Initial Decision Partially Dismissing Complaint, holding that: (i) Respondents' motion to dismiss because of the arbitration clause is denied; (ii) the motion to dismiss the section 41102(c) claim is granted; and (iii) the motion to dismiss for failure to state a claim of violation of sections 41104(2) and 41104(4) is denied. On June 19, 2018, the Commission issued a Notice of Commission Determination to Review the presiding ALJ's Initial Decision Partially Dismissing Complaint.

Since that time, the Parties have been engaged in settlement discussions and, on August 3, 2018, the Parties reached a settlement agreement in principle, pending Commission review.

III. The Settlement Should Be Approved

The Commission has a strong and consistent policy of "encouraging settlement and engaging in every presumption which favors a finding that they are fair, correct, and valid." *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (citations omitted). The Commission's policies, its Rules of Practice, and the Administrative Procedures Act all encourage settlements. *Old Ben Coal Co. v. Sea-Land Services, Inc.*, 18 S.R.R. 1085, 1092 (ALJ 1978). The FMC has consistently recognized that compromises and settlements have various advantages over litigation. *See id.* The Commission has noted:

The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the Parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

Id. (citation omitted).

As part of its analysis when determining whether to approve a settlement, "the Commission looks to see if the settlement has a reasonable basis and reflects the careful

consideration by the parties of such factors as the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N. Am., Inc. v. Port Auth. of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009) (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atl. & Gulf/Australia – New Zealand Conference and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988)). The Commission’s inquiry is informed, however, by its “strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.” *APM Terminals*, 31 S.R.R. at 625 (quoting *Inlet Fish Producers*, 29 S.R.R. at 978) (internal quotation marks and brackets omitted).

In the present case, the settlement is the result of arms-length negotiations between two sophisticated entities, both of whom have been represented by counsel at all times during the proceeding and settlement negotiations. The agreed resolution does not contravene any law or public policy. It is not an unjust or discriminatory in any way, nor will it have any adverse effect on any third parties or on the shipping public. This is especially true since UTi, the non-vessel operating common carrier (“NVOCC”) entity which provided ocean transportation services to Complainants is no longer in existence and virtually no employees or operational processes of the legacy company, UTi, remain employed by DSV, which acquired UTi in 2016. This settlement is fair and reasonable, and reflects the Parties’ desire to resolve their issues without the need for costly and uncertain litigation.

Because the Parties’ agreed settlement is fair and reasonable, and is the product of prudent and considered judgment by both Parties, the Parties respectfully request that this Joint Petition for Approval of Settlement and Dismissal of This Action be granted, that the Parties’ settlement be approved, and that this action be dismissed with prejudice, with each party to bear its own costs.

IV. Request for Confidential Treatment

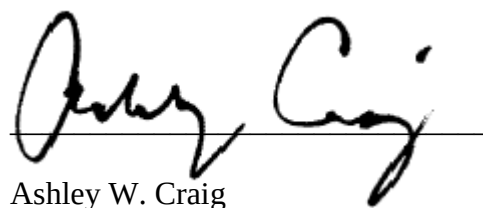
The Parties ask that the Confidential Settlement remain confidential. Such confidentiality is one of the terms and conditions of the Settlement (*see* Addendum, Section 4) and is routinely granted by the Commission due to the recognition that settlement agreements often contain sensitive commercial information and should be protected from public disclosure. *See D.F. Young, Inc. v. NYK Line (North America) Inc.*, FMC Dkt. No. 16- 02, at *4-*5 (FMC May 22, 2018). The Settlement's confidentiality provision should not be considered as illegal or against public policy because it contains an exception for disclosure required by law. *See* Addendum, Section 4.1.

Dated: September 13, 2018

Respectfully submitted,

/s/

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